

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-04

PORTS AMERICA CHESAPEAKE, LLC,

and

MARINE TERMINALS CORPORATION-EAST, COMPLAINANTS,

v.

APS EAST COAST, INC., RESPONDENT.

PORTS AMERICA CHESAPEAKE, LLC

AND

MARINE TERMINALS CORPORATION-EAST

EXCEPTIONS TO THE INITIAL DECISION OF DECEMBER 16, 2024

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I. INTRODUCTION

A. The Underlying Dispute and Conduct in Violation of the Shipping Act

At its core, this case is about a Federal Maritime Commission (“FMC”) registered marine terminal operator, APS East Coast, Inc. (“AMPORTS” or “Respondent”) that sought, and still continues to use its published marine terminal operator schedule to unlawfully raise general revenue from one class of user, stevedores of roll-on/roll-off (“Ro-Ro”) automobile cargo, under the guise of charging fees for terminal “access.”

Ports America Chesapeake, LLC (“PAC”) and Marine Terminals Corporation-East (“MTCE”) (collectively, “Ports America” or “Complainants”) and Ceres Terminals, Incorporated (“Ceres”) are the only competing stevedores at AMPORTS’ Baltimore terminals. Thus, ocean carrier customers selecting a stevedoring provider in Baltimore have only one of two choices: Complainants or Ceres. In implementing its “preferred stevedoring” program at AMPORTS’ terminals, AMPORTS falsely claimed that both Complainants and Ceres were considered for selection as the “preferred stevedore” in Baltimore. However, following a sham “competitive bidding” process that unlawfully excluded Complainants, AMPORTS selected Ceres as the “preferred stevedore.” AMPORTS also unilaterally imposed an unreasonable and discriminatory \$25 per vehicle access fee on Complainants as the “non-preferred stevedore” in a knowing and blatant violation of the Shipping Act of 1984, as amended, 46 U.S.C. § 40101 (the “Shipping Act”).

From the beginning of the preferred stevedore selection process, AMPORTS brazenly touted the intended purpose of its plan: to economically exclude “non-preferred stevedores,” thereby “handing a book of business to the [preferred stevedore].” This violation was knowingly and intentionally done to Complainants, whereby AMPORTS told Ceres the \$25 fee “would likely be punitive enough” to economically exclude Complainants from the market. AMPORTS also knowingly imposed the unlawful \$25 access fee despite vigorous objections from various impacted

parties, including Complainants and their ocean carrier customers. As a direct result of AMPORTS' actions, Complainants lost a significant amount of business, suffered calculable damages, and commenced this action to stop the unreasonable and discriminatory fee.

After a year of litigation, AMPORTS abruptly changed course and rescinded the unjustified \$25 access fee. However, it was quickly replaced by a similarly violative \$10 access fee imposed on all stevedores. Both fees are unreasonable. AMPORTS advances the same baseless justifications for the \$10 access fee as it did for the \$25 access fee: vague and unsupported alleged improvements to terminal infrastructure and general benefits for all terminal users. The defective fee is still unlawful and must be rejected under the Shipping Act.

B. The Initial Decision and Exceptions on Appeal

The Initial Decision ("ID") correctly determined that AMPORTS willfully violated the Shipping Act and Complainants lost business as a direct result. In doing so, the ID fundamentally rejected AMPORTS' preferred stevedore program and non-preferred stevedore \$25 access fee—the central matter at issue—finding that AMPORTS' conduct violated the Shipping Act on multiple grounds.

Specifically, the ID determined that AMPORTS engaged in unreasonable and discriminatory practices, in violation of 46 U.S.C. §§ 41102(c) and 41106(2), by charging Complainants, the only "non-preferred stevedores" in the market at issue, a "much higher" access fee without any additional benefit or sufficient justification. The ID also correctly found that AMPORTS' attempt to collect the \$25 access fee from Complainants as an implied contract was unreasonable, in further violation 46 U.S.C. § 41102(c), because the tariff imposed the access fee on carriers or cargo interests, and not on non-preferred stevedores. Accordingly, the ID issued a cease and desist order requiring that AMPORTS stop invoicing or attempting to collect the unlawful \$25 access fees.

Despite reaching the correct result on these central issues, the ID erred in several critical respects, necessitating the Commission's review and action:

First, the ID committed errors of both law and fact, incorrectly concluding that Complainants failed to adequately prove actual damages sufficient to award reparations for harms caused by AMPORTS' violations. Rather than applying the correct "reasonable certainty" evidentiary standard—achieved through reasonable approximations or estimates supported by evidence and reasonable inferences—the ID instead inappropriately relied on *Rose International, Inc. v. Overseas Moving Network International, Ltd.*, to require Complainants meet a much higher, "absolute certainty" standard of precision. Dkt. No. 96-05, 2001 WL 865708 (FMC Jun. 7, 2001). Relying on *Rose*, the ID replaced the reasonable certainty standard with additional evidentiary requirements not appropriate here, requiring that Complainants demonstrate injury with absolute certainty via third-party verification and affidavits from former customers. In effect, the ID erroneously substituted the reasonable certainty standard with a much higher standard of precision than required under controlling FMC precedent.

Further, the ID ignored and misconstrued both the terminal's captive market and key evidence that established Complainants' damages. Instead, the ID relied on speculation wholly unsupported by the record. Proving lost volumes and profits in a captive market with no third-party competition for stevedoring is materially different, and far simpler, than proving lost volume and profits in an open market with many other competitors, as in *Rose*. Here, for Ro-Ro automotive cargo directed to AMPORTS' terminals in Baltimore, customers have only one of two choices for stevedoring services: Complainants or Ceres. Any Ro-Ro cargo that shifted from Complainants necessarily went to Ceres, and those amounts constitute the lost volumes for Complainants. The ID failed to adequately consider these unique facts and the nature of the lost stevedoring business in this case, both of which are necessary and directly relevant to the evidence of lost volume and profits in

this case. Taking into account the “competition and other market factors” here, there is no speculation that Complainants would have stevedored the cargo that was shifted to Ceres as a result of AMPORTS’ unlawful actions. In *Rose*, determining whether the complainant would have carried the lost cargo but for the unlawful acts “depended upon what other carriers operated competitive services, what the frequency of those services was, and what [complainant's] rates were on the particular cargo involved.” *Rose*, 2001 WL 865708, at * 78. Here, the business lost by Complainants went directly to Ceres and is easily calculable given the captive nature of this market. The ID erred by failing to consider the individual facts specific to this case and failing to apply the correct legal standard under Commission precedent to those facts.

Significant factual errors also cloud the ID’s reparations analysis. The ID ignores and/or misconstrues key evidence in multiple respects, criticizing the calculation of damages as “blanket EBITDA ... without any evidence or explanation how the amount was calculated.” ID at 40. However, the ID plainly did not evaluate the right evidence, citing only deposition testimony and interrogatory responses, but ignoring the actual damages data and calculations. Indeed, the actual data Complainants produced demonstrates all of the evidence and calculations needed to reasonably determine reparations. Complainants produced margin per car data and the volume of cars, all separated by year and ocean carrier contract. This totaled into customer specific EBITDA which, unlike gross profit metrics, accounts for operating costs and non-accounting costs. The ID’s damages understanding and analysis is simply wrong, and it should be overturned.

Regarding causation evidence, the ID ignored AMPORTS’ own admissions regarding causation and even enumerated clear and direct evidence of a carrier changing stevedores because of the \$25 access fee. The ID then inexplicably proceeded to question the persuasiveness of the evidence based on wholly unsubstantiated speculation, including the purely hypothetical possibility

that Complainants' reduction in volumes could have been caused by something other than access fee issues.

On the basis of its *de novo* review, the Commission should find that reparations have been established to a reasonable degree of certainty and thus should be awarded to Complainants. If, however, the Commission determines the evidence in the record is not sufficient, or that additional evidence is warranted, the appropriate remedy would be to remand, for example under FMC Rule 251. 46 C.F.R. § 502.251. *See Perry's Crane Serv. v. Port of Houston*, Dkt. No. 75-51, 19 F.M.C. 548, 551 (FMC Feb. 25, 1977).

Second, while the ID correctly found AMPORTS excluded Complainants from the “competitive bidding” process, the ID erred in concluding the exclusion was justified. The ID failed to properly apply AMPORTS' burden to establish reasonable justifications, opting instead to accept vague and unsubstantiated *post hoc* excuses. The *post hoc* justifications presented and accepted are simply not supported by the record. The ID acknowledges AMPORTS justifications are unsubstantiated rumors, vague allegations, and simply “not strong.” The only “evidence” supporting AMPORTS pretextual justifications are two videos dated after Complainants were excluded—yet the ID defers to AMPORTS flawed and unreasonable rationale in violation of Commission precedent. Reviewing the case *de novo*, the Commission will find that AMPORTS refused to deal when it excluded Complainants from the “competitive bidding” process and that AMPORTS failed to meet its burden of production to justify that refusal to deal.

Third, the ID's evaluation of the belated \$10 access fee following rescission of the \$25 access fee erred in multiple respects. Contrary to the ID's conclusion, the \$10 access fee is fully within the scope of Count II of the Complaint. Complainants alleged that charging any fee, regardless of the amount, that is not related or allocated to the costs or benefits received by the class of person being charged, is an unreasonable practice. Including the \$10 access fee did not substantively broaden the

issues because the same standards, analysis, and evidence applies regardless of the fee amount. Further, AMPORTS is not prejudiced by addressing the \$10 access fee because it already represented the \$10 access fee has the same purported benefits justification as the \$25 access fee, all of which was previously covered in discovery.

The ID also erred in opining, in dicta, that if it were to properly consider the \$10 access fee, it would not find a violation. If the matter was not ripe, there was no reason to opine on the allegations. More importantly, the ID applied the wrong legal standard by solely relying on the absence of differential treatment. Differential treatment is not a required element of an unreasonable practice cause of action and is also not relevant to the \$10 access fee unreasonable practice claim advanced here. Charging an access fee on stevedores and no other terminal users, without a reasonable allocation of the costs or benefits of the access fee to stevedores, is a cognizable unreasonable practice violation under 46 U.S.C. § 41102(c). Thus, the ID erred by erroneously applying the wrong legal standard to its extraneous discussion.

Ultimately, both fees suffer the same defects: 1) there is no support or justification for the fee, and 2) one group of terminal users is being assessed a fee, not assessed to other terminal users, for which they receive no specific or allocable benefit. The ID's treatment now prejudices Complainants where it incorrectly determined the \$10 access fee was not properly before the ALJ, then inexplicably analyzed the fee on the merits, applied the incorrect legal standard, and found no theoretical violation. Under the Commission's *de novo* review, the Commission will find evidence sufficient to establish the alleged violation. Should the Commission determine that additional discovery is warranted, the Commission can remand for further proceedings.

For the foregoing reasons, the ID committed multiple errors of both law and fact, and Complainants request that the Commission, on the basis of a *de novo* review, reverse the ID and award Complainants reparations. Alternatively, if the Commission determines that evidence in the

record is not sufficient, Complainants request that the Commission remand for further proceedings on damages pursuant to Rule 251.

II. FACTUAL BACKGROUND

A. The Respondent

AMPORTS is an auto processor, a business that prepares vehicles imported and exported on ocean-going vessels, for car manufacturers and dealerships. PFF ¶ 5 (admitted); CX_00002, Complaint ¶ 5, CX_00027, Answer ¶ 5; PFF ¶ 14; CX_01517, Molyneaux Dep. Ex. 3. AMPORTS owns two marine terminals in Baltimore, MD where ocean-going vessels load and discharge vehicles for processing¹. PFF ¶ 14 (admitted); CX_01517, Molyneaux Dep. Ex. 3. AMPORTS is an FMC-registered Marine Terminal Operator, and publishes a FMC Marine Terminal Operator Schedule: APS Atlantic & Chesapeake Terminal Tariff No. 2, 019071-002 (the “AMPORTS Schedule”). PFF ¶¶ 7-8 (admitted); CX_00002, Complaint ¶ 7; CX_00027, Answer ¶ 7; CX_00003, Complaint ¶ 8; PFF ¶ 9 (admitted); CX_00027, Answer ¶ 8. AMPORTS charges vessels and cargo under the AMPORTS tariff to use the berths and terminal for loading and unloading between a vessel and the terminal “point of rest.” CX_00787-88, Molyneaux Dep. Tr. 34:23-35:22. When vessels load or unload cargo at the terminals, the vessels hire their own stevedores directly. PFF ¶ 26 (admitted); CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23.

AMPORTS does not perform any stevedoring, does not hire stevedores, and does not own or operate equipment used by Ro-Ro stevedores. PFF ¶ 23 (admitted); CX_00104, AMPORTS 143(b)(6) Dep. Tr. 67:1-3; CX_00793, Molyneaux Dep. Tr. 41:6-12. AMPORTS has no involvement with stevedoring operations, aside from designating the cargo’s ultimate point of rest on the terminal. CX_00834; CX_00848, Molyneaux Dep. Tr. 81:15-24; 95:2-5. After the third-

¹ AMPORTS also owns several other marine terminals throughout the United States, including a terminal in Benecia, CA where a similar “preferred stevedore” program was introduced. This proceeding is focused on AMPORTS’ two Ro-Ro marine terminals in Baltimore.

party stevedoring is complete, AMPORTS takes possession of the cargo (i.e., the vehicle) for processing. PFF ¶ 26 (admitted); CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23.

B. The Complainants

PAC and MTCE are stevedores in the Port of Baltimore. PFF ¶ 1 (admitted); CX_00001-02, Complaint ¶ 1; PFF ¶ 2 (admitted); CX_00002, Complaint ¶ 2. They are hired by vessel operators to perform Ro-Ro stevedoring for vessels and their cargo calling at AMPORTS' terminals. PFF ¶ 3; CX_00002, Complaint ¶ 3. As Ro-Ro stevedores, Complainants load and unload vehicles between vessels and the terminal point of rest. PFF ¶ 13 (admitted); CX_00786-87; CX_00822, Molyneaux Dep. Tr. 33:17-34:6; 69:10-23. Ro-Ro stevedores typically drive the cars under their own power on and off vessel ramps to the terminal parking areas. PFF ¶ 11; CX_00811-12, CX_00782-84, Molyneaux Dep. Tr. 58:25-59:8; 29:13-31:23.

C. Background of AMPORTS' Unlawful Conduct

In fall 2021, AMPORTS executives were looking for ways to generate additional revenue for the company. PFF ¶ 27 (admitted); CX_01282, AMPORTS 143(b)(6) Dep. Ex. 3. Their goal was to come up with \$3-4 million of new annual EBITDA from "ancillary businesses." PFF ¶ 28 (admitted); CX_01285, AMPORTS 143(b)(6) Dep. Ex. 4. The "ancillary business" AMPORTS ultimately chose was stevedoring, even though AMPORTS was not a stevedore, did not hire stevedores, and did not use stevedores. PFF ¶ 23 (admitted); CX_00104, AMPORTS 143(b)(6) Dep. Tr. 67:1-3; CX_00793, Molyneaux Dep. Tr. 41:6-12. However, AMPORTS did own the marine terminals where ocean carriers contracted for Ro-Ro stevedoring.

AMPORTS already charged ocean carriers and Ro-Ro cargo interests wharfage, dockage, security fees, and other tariff charges for use and access to its terminals. PFF ¶ 128; CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33. To raise the additional revenue it sought, AMPORTS executives

developed a preferred stevedoring program, whereby the “preferred stevedore” would pay a preferential [REDACTED] access fee for each automobile stevedored, and all other “non-preferred stevedores” would be charged a much higher \$25 access fee for each automobile stevedored. PFF ¶ 59 (admitted); CX_01328, AMPORTS 143(b)(6) Dep. Ex. 17; CX_00170-71, AMPORTS 143(b)(6) Dep. Tr. 133:17-134:6; PFF ¶ 60 (admitted); CX_00846-47, CX_00849, Molyneaux Dep. Tr. 93:14-94:2; 96:9-12.

At all times relevant to this matter (and continuing to the present day) the only companies providing Ro-Ro stevedoring for ocean carriers loading or discharging at AMPORTS’ terminals in Baltimore were (1) Ceres and (2) Complainants. PFF ¶ 139; CX_00117-18, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. Notably, stevedores do not direct or control the volume of auto Ro-Ro cargo at AMPORTS’ terminals. Rather, in the case of auto Ro-Ro cargo, overseas manufacturers contract with an auto processor like AMPORTS to provide auto processing services under long- term, multiyear contracts. PFF ¶ 12; CX_00785-87, Molyneaux Dep. Tr. 32:24-34:6. The overseas manufacturers also make shipping arrangements directly with ocean carriers for delivery to AMPORTS’ terminals for auto processing services. *Id.* The ocean carriers then contract directly with a stevedore for cargo loading and unloading services. *Id.*

To establish the preferred stevedoring program, AMPORTS represented in its tariff that it conducted a “competitive bidding” process to select a preferred stevedore. PFF ¶ 103 (admitted); CX_01388, AMPORTS 143(b)(6) Dep. Ex. 33, Rule 34 2. That representation later proved to be false. Indeed, despite the fact that Ceres and Complainants were the only Ro-Ro stevedores at AMPORTS’ terminals in Baltimore, Complainants were not provided an opportunity to participate in the bidding process. They had no knowledge of the preferred stevedoring program itself, and only learned of their unilateral exclusion from consideration after AMPORTS announced that it was over. PFF ¶¶ 43, 44 (admitted); CX_00390-91, Buben Dep. Tr. 63:7-64:2. AMPORTS, pursuant to this

sham “competitive bidding” process, selected Ceres as the preferred stevedore for its terminals in Baltimore.

The record clearly demonstrates that AMPORTS implemented its preferred stevedoring program with the express intent to cause financial harm to Complainants. Indeed, when soliciting bids from other stevedores, AMPORTS openly enticed Complainants’ ocean carrier customers to switch stevedores.² As but one example, AMPORTS brazenly advertised to prospective “preferred” stevedoring companies that, in exchange for their participation in AMPORTS’ preferred stevedoring program, “[w]e will be handing a book of business to the new partner.” CX_01304, AMPORTS 143(b)(6) Dep. Ex. 6. To be clear, the “book of business” AMPORTS would be “handing” to the preferred stevedore in Baltimore was Complainants’ business. Put simply, AMPORTS was fully aware that Complainants had long-term agreements and business relationships with their ocean carriers customers and AMPORTS fully expected the \$25 access fee would result in Complainants losing that business to Ceres, the “preferred” stevedore. PFF ¶ 140; CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11; PFF ¶ 144; CX_00486-88, Buben 61, Dep. Tr. 159:20-161:13; CX_00145-46, AMPORTS 143(b)(6) Dep. Tr. 108:4-109:7.

On November 1, 2022, AMPORTS announced that it selected Ceres as the “preferred stevedore,” and commencing on January 1, 2023, any services performed by “non-preferred stevedores” would be subject to a \$25 per car access fee to utilize AMPORTS’ terminals in

² In its November 1, 2022 announcement letter, AMPORTS stated that the preferred stevedore “agreed to honor existing stevedoring agreements currently in place at our locations until expiration,” an understanding that further demonstrates AMPORTS planned for ocean carriers to switch business from Complainants to Ceres. AMPORTS Response to PFF ¶ 92(c) (admitted); CX_01359, AMPORTS 143(b)(6) Dep. Ex. 22; AMPORTS Response to PFF ¶ 141 (admitting to conveying that the preferred stevedore agreed to honor existing contracts); CX_00196-97, AMPORTS 143(b)(6) Dep. Tr. 159:9-11. AMPORTS conveyed that expectation to stevedores bidding on the preferred stevedore proposal, telling prospective bidders that other stevedoring companies had offered to honor the existing contracts until they expired (or at least until they could leverage their sole stevedore position to obtain higher rates). PFF ¶ 47(admitted); CX_00381-83, Buben Dep. Tr. 54:25-56:2.

Baltimore. PFF ¶¶ 89, 92 (admitted); CX_01359, Brown/AMPORTS 143(b)(6) Dep. Ex. 22. Complainants, the only other stevedores of Ro-Ro cargo at the AMPORTS' terminals, were thereby unilaterally designated the "non-preferred stevedores" and subjected to the overtly discriminatory and unreasonable \$25 access fee. AMPORTS implemented and charged Ceres for the [REDACTED] preferential access fee pursuant to a confidential contract.

Complainants and their ocean carrier customers, including Wallenius Wilhelmsen ("WWO"), MOL (Americas) LLC ("MOL"), Kawasaki Kisen Kaisha, Ltd. ("K-Line"), and Grimaldi Group S.p.A. ("Grimaldi") all vigorously objected to AMPORTS' preferred stevedoring proposal and the discriminatory and unreasonable imposition of the \$25 per car access fee. PFF ¶ 145; CX_01367; CX_01371, AMPORTS 143(b)(6) Dep. Exs. 26, 28; CX_02031, APS_0112. All sent letters, asking AMPORTS to withdraw and/or cease its unlawful behavior, specifically noting the financial harm the \$25 access fee would cause Complainants. MOL and K-Line representatives explicitly told AMPORTS: "Because [they] would be required to pay a \$25/unit fee in order to use other RO/RO stevedoring services at these AMPORTS-owned facilities, **MOL and K-Line will be forced as a practical matter into using SSA [in Benecia] and Ceres [in Baltimore] for their stevedoring needs.**" CX_01367; CX_01371, AMPORTS 143(b)(6) Dep. Exs. 26, 28; CX_02031, APS_0112 (emphasis added).

In a letter to COO Ben Buben dated December 2, 2022, WWO similarly objected to being forced into using Ceres, noting that Ports America was its chosen stevedore with whom it had "a long-standing contractual relationship." CX_01367, AMPORTS 143(b)(6) Ex. 26. Similarly, Grimaldi told AMPORTS that "we view these efforts as commercially offensive ... it seeks to usurp our own decision on whom we want to perform our stevedoring, a decision we did not lightly make," further referring to Ports America as its "contracted and chosen stevedores of long standing." CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. Thus, AMPORTS was explicitly on notice the

unlawful and punitively excessive fees violated the Shipping Act and would cause Complainants to lose business to Ceres. *Id.*

On December 29, 2022, three days before the \$25 access fee was to take effect, AMPORTS advised that it was temporarily suspending collection of the \$25 access fee pending a “comprehensive response” to the many objections it received. PFF ¶ 97; CX_02037, APS_0118. AMPORTS did not respond to objections from the Complainants and carriers again until more than three months later, on March 31, 2023. PFF ¶ 101 (admitted); CX_01520, Beall Dep. Ex. 14. In that letter, AMPORTS stated it was intending to assess the \$25 access fees on Complainants, despite language in the tariff clearly stating the access fee would be assessed against AMPORTS’ “customer”, and it intended to commence the previously suspended collection on April 10, 2023. PFF ¶ 101 (admitted); CX_01520, Beall Dep. Ex. 14. Complainants again objected, specifically putting AMPORTS on notice the tariff language did not provide a legal basis for AMPORTS to collect the \$25 access fees from Complainants and its conduct overtly violated the Shipping Act. CX_02039, APS_0129-30, n.1 and n.2. AMPORTS ignored these warnings and persisted with the preferred stevedoring program and imposition of the \$25 access fee on Complainants.

After AMPORTS commenced enforcement and collection on April 10, 2023, Complainant PAC’s customer Grimaldi promptly switched its AMPORTS terminal stevedoring business to Ceres. PFF ¶ 146; CX_01573, Schmidt Dep. Ex. 19; CX_01114-15, Schmidt Dep. Tr. 75:18-76:19; CX_01117-19, Schmidt Dep. Tr. 78:14-80:10, CX_01124-26, 85:3-87:7. Complainant MTCE’s customers WWO and Hoegh likewise switched their AMPORTS terminal stevedoring business to Ceres. PFF ¶ 146; CX_01114-15, Schmidt Dep. Tr. 75:18-76:19; CX_01117-19, Schmidt Dep. Tr. 78:14-80:10, CX_01124-26, Schmidt Dep. Tr. 85:3-87:7; PFF ¶ 147; CX_01142-44, Schmidt Dep. Tr. 103:20-105:14. Complainant MTCE retained only one carrier customer, MOL, who agreed to continue its business with Complainants, [REDACTED]

[REDACTED]

[REDACTED] PFF ¶ 147; CX_01130-31; CX_01132; CX_01134-35; CX_01136, Schmidt Dep. Tr. 91:11-92:13; 93:14-19; 95:17-96:15; 97:5-16. Complainants lost all other stevedoring business to Ceres for Ro-Ro cargos loaded or discharged at AMPORTS' terminals.

It is undisputed in the record that the \$25 access fee was so high, it would necessitate the carriers' switch to the "preferred" stevedore, Ceres, Complainants only competitor. PFF ¶ 146; CX_01114-15, Schmidt Dep. Tr. 75:18-76:19; CX_01117-19, Schmidt Dep. Tr. 78:14-80:10, CX_01124-26, Schmidt Dep. Tr. 85:3-87:7; PFF ¶ 147; CX_01142-44, Schmidt Dep. Tr. 103:20-105:14. After executing the preferred stevedoring agreement with AMPORTS, on October 25, 2022, Ceres asked AMPORTS: "when we can actually take over" and "how [will] others [be] excluded?" PFF ¶ 72; CX_01355, AMPORTS 143(b)(6) Dep. Ex. 20. Ceres then confirmed that AMPORTS would use the access fee to exclude Complainants and that \$25 per vehicle "would likely be punitive enough" to do so. PFF ¶ 72; CX_01355, AMPORTS 143(b)(6) Dep. Ex. 20; CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. Clearly, Ceres, the "preferred stevedore", understood it was paying the [REDACTED] access fee to AMPORTS in exchange for taking over Complainants' stevedoring business.

The \$25 penalty fee was expressly designed to financially harm Complainants. PAC's President Mark Schmidt testified paying the \$25 per car access fee to AMPORTS would effectively shut down PAC's business at any facility where AMPORTS charged the fee. CX_01156, Schmidt Dep. Tr. 117:5-16. He explained the charge was not only onerous and punitive, but also vastly exceeded PAC's EBITDA or earnings for each of those locations, which typically have a profit margin of [REDACTED] for Ro-Ro stevedoring. CX_01156-57, Schmidt Dep. Tr. 117:2-118:6. AMPORTS' Baltimore terminal manager, George Molyneaux, further testified he was told the \$25 access fee was "a penalty fee for not using Ceres as the preferred stevedore." PFF ¶ 61; CX_00849, Molyneaux Dep. Tr. 96:18-22. When reviewing AMPORTS terminal volume for 2022 and 2023, which

illustrated the cargo shifted from Complainants to Ceres, he questioned what customers Complainants would retain, if any, because: “who is going to pay the \$25 fee? It would be cheaper to go through the preferred stevedore.” CX_00860-61, Molyneaux Dep. Tr. 107:22-108:7 (testifying in connection with Exhibit 4, AMPORTS’ terminals Ro-Ro cargo volume data, 2022 and 2023) (emphasis added).

After Complainants filed suit, AMPORTS continued to defend the preferred stevedoring program and the \$25 access fee for nearly a year. During that time, Complainants were forced to expend significant time, money, and resources to protect their rights. Suddenly, when faced with the possibility of an adverse decision on its unlawful preferred stevedoring program and \$25 access fee, AMPORTS abruptly reversed course after the close of discovery, attempting to improve its litigation position at the eleventh hour by unilaterally rescinding the \$25 access fee on May 15, 2024. Then on May 24, 2024, just days before the submission of the opening brief in this proceeding, AMPORTS unilaterally imposed a new \$10 access fee, effective June 1, 2024, this time on all “stevedoring service providers.” PFF ¶ 116 (admitted); CX_01820, May 2024 Amend. to Schedule, Rule 34 2; PFF ¶ 118 (admitted); CX_01924, June 2024 Amend. to Schedule, Rule 34 2(a)(2)(iii).

The new \$10 access fee continues to charge only one class of payor (stevedores) for the same purported infrastructure and general benefits that other terminal users (including AMPORTS) also benefit from without paying the charge. PFF ¶ 120 (admitted); CX_01923, Letter to Stevedores and Carriers. As such, the \$10 access fee suffers from the very same infirmities as the \$25 access fee. It fails to reasonably allocate the costs or benefits of the purported capital/improvement costs (which AMPORTS never calculated) to the benefits received by the stevedores paying the charge. It also does not allocate benefits to stevedores versus similar benefits received by other classes of users that are not charged. Indeed, as AMPORTS testified, everyone benefits from capital improvements, not just stevedores (if they do at all). PFF ¶ 70 (admitted); Interrogatory Response No. 20; CX_00470,

Buben Dep. Tr. 143:17-21. Complainants' opening brief appropriately included the \$10 access fee allegations under 46 U.S.C. § 41102(c).

D. Complainants' Claims for Violation of the Shipping Act

Complainants filed their Verified Complaint against AMPORTS on May 30, 2023, alleging violations of the Shipping Act's prohibitions against unreasonable practices in violation of 46 U.S.C. § 41102(c); unreasonable preferences and prejudices in violation of 46 U.S.C. § 41106(2); and unreasonable refusals to deal in violation of 46 U.S.C. § 41106(3). Complainants sought a cease and desist order and reparations for injury resulting from losing their stevedoring business to Ceres.

The unreasonable practices cause of action under 46 U.S.C. § 41102(c) sought to challenge: (1) the \$25 access fee as excessive and not reasonably related to services or benefits received; (2) the \$10 access fee as excessive and not reasonably related to any services or benefits received; (3) the \$25 access fee in the AMPORTS tariff as it did not levy the charge on Complainants and there is no other legal basis to collect it from Complainants; and (4) the preferred and non-preferred stevedore practices and charges as they unreasonably interfered with Complainants' agreements and business relations and the rights of the ocean carriers to select their own stevedores.

The unreasonable preferences and prejudices cause of action under 46 U.S.C. § 41106(2) sought to challenge (1) the preferred and non-preferred stevedore practices, and the exclusion of Complainants from consideration, as an unreasonable preference and prejudice; and (2) the preferred/non-preferred stevedore practices charging only the non-preferred stevedore the higher \$25 access fee as an unreasonable preference and prejudice.

The unreasonable refusal to deal cause of action under 46 U.S.C. § 41106(3) sought to challenge Complainants' exclusion from AMPORTS' alleged "competitive" bidding process for the preferred stevedoring program.

The deadline for completion of discovery was May 1, 2024. Given AMPORTS May 24, 2024 announcement of a new \$10 access fee, effective June 1, 2024, on all stevedores, the Presiding Officer granted the emergency motion permitting Complainants to address the new \$10 access fee in Complainants' briefing. Complainants' opening brief on the alleged violations of 46 U.S.C. § 41102(c) in the Complaint challenged AMPORTS' new \$10 access fee on the basis that AMPORTS failed to allocate the alleged costs or benefits to any stevedore that would justify charging stevedores access fees, whether \$25 or \$10.

III. STANDARD OF REVIEW

An initial decision must provide a reasoned decision “on all the material issues of fact, law, or discretion presented on the record.” 5 U.S.C. § 557(c)(3)(A); 46 C.F.R. § 502.223 (initial decision must “include a statement of findings and conclusions, as well as the reasons or basis therefor, upon all the material issues presented on the record”). When the Commission reviews exceptions to an initial decision, the Commission has all the powers which it would have in making the initial decision. 46 C.F.R. § 502.227(a)(6). The Commission review of the ID is *de novo*. *Id.*; *see also Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 12-02, 2015 FMC LEXIS 43, *110-11 (FMC Dec. 18, 2015). Thus, while the Commission may adopt findings of fact, application of law, and conclusions in initial decisions, it would do so only where the Commission determined, in light of the exceptions, those findings of fact, application of law, and conclusions that “are well-reasoned and supported by evidence in the record.” *United Logistics (LAX) Inc. – Possible Violations of Sections 10(A)(1) and 10(B)(2)(A) of the Shipping Act of 1984*, Dkt. No. 13-01, 2014 WL 5316339, at *1 (FMC Feb. 6, 2014).

Complainants bear the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, Dkt. No. 08-03, 2014 FMC LEXIS 35, at *41 (FMC Dec. 17, 2014). Under the preponderance

of the evidence standard, Complainants must demonstrate that their allegations are more probable than not. *DSW Int'l, Inc. v. Commonwealth Shipping, Inc.*, Dkt. No. 1898(F), 2012 FMC LEXIS 32, at *2 (FMC Jul. 23, 2012).

IV. EXCEPTIONS AND ARGUMENT

A. Complainants Established AMPORTS' Violations of 46 U.S.C. § 41106(2) and 46 U.S.C. § 41102(c) Caused Actual Injury Entitling Complainants to Reparations

1. Summary of Reparations Exceptions

The ID easily determined that AMPORTS violated §§ 41102(c) and 41106(2) of the Shipping Act when it implemented the “preferred stevedore” program and the \$25 access fee. ID at 25, 36. The ID resoundingly rejected AMPORTS’ justifications for its actions, finding that AMPORTS knowingly violated the Shipping Act and acknowledging that Complainants were harmed as a result. *Id.* at 25-28, 34-35. Despite finding clear violations of the Shipping Act that caused harm to Complainants, the ID nevertheless erroneously failed to award any reparations to Complainants. This error directly contravenes the Commission’s requirement that it “shall direct the payment of reparations to the complainant for actual injury caused by a violation.” ID at 38.

The ID further erred in finding Complainants failed to carry their burden of demonstrating that they are entitled to reparations for lost business, concluding that “Complainants have not provided sufficient evidence of lost volume, of a nexus between the access fee and the lost volume, or of the amount of profit loss.” ID at 40. The ID’s evaluation and conclusions on reparations are based on several serious errors of law and fact.

First, the ID failed to properly apply the “reasonable certainty” standard for proof of reparations. Instead of first evaluating the evidence to determine if it provides “competent evidence” adequate to support Complainants’ damages calculations, including by reasonable inferences or approximation, the ID inappropriately relied on *Rose* to add evidentiary requirements that are not

necessary or appropriate here. ID at 39-40. This wholesale reliance on *Rose* fails to consider long standing Commission precedent that “the fact of injury must be shown with reasonable certainty [and] that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences.” *OJ Commerce, LLC v. Hamburg Sud*, Dkt. No. 21-11, 2023 WL 3969857, at *47 (ALJ Jun. 7, 2023), citing *Tractors & Farm Equip. Ltd. v. Cosmos Shipping Co.*, Dkt. No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992). As addressed below, Complainants have provided more than sufficient “competent evidence” to support its damages calculations. In short, the ID erred in substituting the ‘reasonable certainty’ standard with a higher standard, effectively requiring proof of damages or reparations with absolute precision or certainty.

The ID also failed to adequately appreciate the unique facts and circumstances surrounding this market, which are directly relevant to evaluating lost volumes and profits. Proving lost volume and damages in this captive market, with only Complainants and Ceres competing against each other, effectively results in a zero-sum game. That presents a materially different analysis than the open and dynamic market with multiple competitors in *Rose*. 2001 WL 865708, at *78. Here, the stevedoring business volume goes to only one of two places: either to Complainants, or to Ceres. In *Rose*, there were numerous competitors and other market factors relevant to demonstrating with reasonable certainty that the complainant would have performed the business it claimed it lost. But here, the volume of cargo lost by Complainants was in fact handled by Ceres, and but for AMPORTS’ violations that caused that diversion to Ceres, Complainants would have stevedored the cargo. Thus, the ID erred in comparing the calculation of damages in a dynamic market such as the one at issue in *Rose* to the calculation of damages in this case.

Significant factual errors also cloud the ID’s reparations analysis. The ID criticized the evidence and calculation of the quantum of damages, describing it as only “blanket EBITDA ...

without any evidence or explanation how the amount was calculated.” ID at 40. However, the ID plainly overlooked the evidence. The tables and calculations in Complainants’ lost volume and damages evidence—that the ID apparently did not see—do contain underlying calculations and supporting data that explain Complainants’ analysis. Specifically, the evidence includes both supporting data detailing the 2023 loss volume on a carrier-by-carrier basis and the underlying EBITDA calculations, which account for operating costs, lost volume, and carrier specific margin per vehicle based on individual ocean carrier contracts. CX_02040, PA-0002232; CX_02043, PA-0002235. In finding Complainants did not prove their quantum of damages, the ID compares Complainants’ calculations to the gross profit calculations in *Rose*, which were deemed insufficient because, among other things, operating costs were not factored in. ID at 39. Unlike gross profit metrics, the calculation of EBITDA here utilizes contract-specific average margin per car figures, which accounts for operating costs and non-accounting costs of generating the revenue.

In addition, despite finding clear and direct evidence establishing causation—for example PAC’s clear loss of its Grimaldi business to Ceres—the ID inexplicably then proceeds to question the persuasiveness of the evidence on the basis of unsubstantiated speculation. After conceding that the evidence shows Complainants lost business due to the \$25 access fee, the ID then speculates, *sua sponte*, with alternative theories of causation not raised by AMPORTS, it further credits theoretical and unsubstantiated reasons for Complainants’ lost business, and then inexplicably concludes Complainants have not met their burden.

The ID’s reparations evaluation erroneously failed to apply the correct legal standard and failed to evaluate other damages evidence, when in fact the evidence in the record establishes Complainants’ entitlement to reparations. The record evidence includes data detailing volumes by carrier contract calculated year-over-year and detailed loss calculations, specific profit margin figures per carrier contract, and evidence showing the underlying EBITDA calculations, not on a

“blanket” basis, but also individually calculated for each carrier contract. The Commission should, on the basis of its *de novo* review of the record, find that the quantum of reparations has been established to a reasonable degree of certainty. As a result, the Commission should overturn the ID and award reparations. If, however, the Commission determines that the evidence in the record is not sufficient to establish reparations—or if, in light of the passage of time or intervening circumstances, the Commission determines that additional evidence is warranted—the appropriate remedy would be to remand for further consideration of damages, for example under FMC Rule 251.

2. Applicable Law on Reparations

The Shipping Act provides the Commission “shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Shipping Act. 46 U.S.C. § 41305(b). Reparations are awarded based on actual injury caused by a violation. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC Jun. 10, 2022). “Actual damages means ‘compensation for the actual loss or injuries sustained by reason of the wrongdoing’ which complainants must show to a reasonable degree of certainty.” *MAVL Capital*, 2022 WL 2209421, at *3 (*quoting Cali. Shipping Line, Inc. v. Yangming*, Dkt. No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990)).

The “goal of awarding damages is to make the injured party whole,” thus, the “proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Yakov Kobel v. Hapag-Lloyd A.G.*, Dkt. No. 10-06, 2014 WL 5316331, at *14 (ALJ Jul. 30, 2014) (Remand Initial Decision), *aff’d* 2015 WL 3465821 (FMC May 26, 2015). The “method chosen depends on the evidence available and which calculation more accurately measures the actual loss.” *MAVL Capital*, 2022 WL 2209421, at *3; *see also Consolo v. Federal Maritime Com.*, 383 U.S. 607 (1966) (lost profit “is real and it is certainly compensable under the Shipping Act”); *see also In Ngobros & Co.*

Nigeria Ltd. v. Oceane Cargo Link, LLC et al., Dkt. No. 14-15, 2015 WL 7253385, at *9 (ALJ Nov. 10, 2015) (holding that complainant was entitled to a reparations award including lost profits).

The same damages standard applies for evaluation of lost profit damages. *OJ Commerce*, 2023 WL 3969857. Proving injury to a “reasonable degree of certainty” may be based on a reasonable estimate. *Off. & Prof. Emp. Int’l Union, Local 2 v. FDIC*, 27 F.3d 598, 602 (D.C. Cir. 1994); *Eureka Inv. Corp., N.V. v. Chicago Title Ins. Co.*, 743 F.2d 932, 938 (D.C. Cir. 1984); RESTATEMENT, supra, § 912 & cmt. d; 1 ROBERT L. DUNN, RECOVERY OF DAMAGES FOR LOST PROFITS § 1.3, at 11 (4th ed. 1992); *Tractors & Farm Equip.*, 26 S.R.R. at 798-99 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992 (“the amount [of damages] can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences.”).

The ID generally recited the applicable FMC authorities and standards set forth above, ID at 39, but erred in failing to properly apply the “reasonable certainty” legal standard, failing to consider the evidence under that standard, and failing to evaluate or consider the “individual facts” of this case, in clear violation of existing FMC precedent. *See Kobel*, 2014 WL 5316331, at *14.

3. The ID Failed to Properly Apply the Correct Legal Standard for Proving Reparations, Effectively Requiring a Higher Degree of Precision than the “Reasonable Certainty” Standard

The ID’s reparations analysis was significantly flawed, requiring that Complainants provide evidence of loss beyond a “reasonable degree of certainty.” The reasonable certainty standard “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3 (*quoting Cali. Shipping*, 1990 WL 427466, at *23); *see also Tractors & Farm Equip.*, 26 S.R.R. at 798-99 (the reasonable certainty standard is met by “reasonable approximation supported by evidence and by reasonable inferences.”). Complainants’ competent and reliable evidence of loss included: undisputed evidence demonstrating

customers switched stevedores immediately after the \$25 access fee was ultimately implemented as of April 10, 2023, deposition testimony confirming those losses, and detailed calculations establishing the quantum of Complainants' loss based on detailed volume data and volume loss calculations, net profit margin per car figures specific for each carrier contract, and showing the calculations of resulting EBITDA losses for each carrier contract. This evidence and approximation of losses was more than sufficient to meet the "reasonable certainty" standard required by Commission precedent.

However, instead of evaluating the evidence pursuant to the reasonable degree of certainty standard, the ID inappropriately relied on *Rose*. The ID's wholesale reliance on *Rose* had the practical effect of erroneously elevating the standard of proof to a significantly higher degree of precision requiring: (1) "corroborat[ion] by an outside, independent source;" (2) market and competition analysis to address unsubstantiated speculations raised solely by the ALJ; and (3) direct evidence "from former customers" establishing causation. ID at 39-40. None of these additional evidentiary requirements are necessary under the relevant case law or appropriate for Complainants' damages in this unique market scenario.

It is well-established that proving damages to the reasonable certainty standard need not be precise, but it cannot be based on "unreliable or speculative evidence." *Rose*, 2001 WL 865708, at * 76. In *Rose* the underlying damages evidence and calculation were deemed "faulty, speculative and incomplete," as both the ALJ and Commission determined the complainant failed to show damages with reasonable certainty for multiple reasons. *Id.* at 76-79. In that context, the Commission opined corroboration by an outside, independent source might have bolstered or revived the otherwise inadequate evidence. *Id.* at 79 ("Without any objective analysis of the otherwise unconvincing evidence presented by *Rose*, the conclusions drawn from that evidence provide a thoroughly inadequate basis upon which to award damages."); *see also Cali. Shipping*, 1990 WL

427466, at *24 (FMC Oct. 19, 1990) (finding damages summary based on speculative notions of cargo that might be carried and speculative profit estimates to be “so speculative and conjectural that it lacks the requisite degree of certainty”).

However, neither *Rose* nor *California Shipping* stand for the proposition that an expert or other “objective analysis” of damages evidence is required to prove reparations, particularly when the submitted evidence is not so speculative that it cannot independently meet the reasonable certainty standard. Here, the ID did not even substantively evaluate the evidence or calculations. Instead, the ID summarily disregarded lost volume evidence, on the erroneous belief that independent corroboration was required. Both are clear errors the Commission should reverse.³

4. The ID Erred in Its Fundamental Misunderstanding of the Ro-Ro Stevedoring Market at AMPORTS’ Terminals in Baltimore

At AMPORTS’ terminals in Baltimore, ocean carrier customers have only two choices when it comes to stevedoring providers: either Complainants or Ceres. PFF ¶ 105 (admitted); CX_00117-18, Brown/AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1; PFF ¶ 139; CX_00117-118, AMPORTS 143(b)(6) Dep. Tr. 80:22-81:1. Thus, all Ro-Ro cargo contractually destined for processing at AMPORTS’ Baltimore terminals would be stevedored by either Complainants or Ceres. *Id.* The captive nature of the cargo and stevedoring at AMPORTS terminals materially simplifies the calculation of lost volumes in this case.

The actual volume of cars stevedored by Complainants or Ceres, and the ocean carriers that switched from Complainants to Ceres because of the access fee, are objective facts that demonstrate Complainants’ volume loss. Any ocean carrier customer of Complainants that switched to Ceres

³ Other FMC decisions have granted reparations without any expert or third-party corroboration. *See, e.g., MCS Indus. v. COSCO Shipping Line*, Dkt. No. 21-05, 2024 WL 692719 (ALJ Feb. 16, 2024) and *Yakov Kobel v. Hapag-Lloyd*, Dkt. No. 10-06 (ALJ, Remand Jul. 30, 2014), and cases noting that where expert reports are offered, the underlying evidence is more convincing than expert report, *e.g., Way Interglobal v. Shenzhen*, Dkt. No. 22-28, 2024 WL 1741944 (April 19, 2024).

after April 10, 2023 took stevedoring volume that, but for switching to Ceres, Complainants would have performed as the only other stevedore at AMPORTS' Baltimore terminals.

Indeed, the evidence demonstrates that the quantification of impacted volumes here is by its nature not even susceptible to material dispute. For example, AMPORTS was and is fully aware of the total volume of stevedored cargo and which stevedore serviced each ocean carrier vessel. *See, e.g.*, CX_00854-60, Molyneaux Dep. Tr. 101:16-107:13 (testifying about AMPORTS' actual auto Ro-Ro volume data for 2022 and 2023 showing volumes actually stevedored by Complainants and Ceres reported in Molyneaux Dep. Ex. 4, AMPORTS Spreadsheet of 2022-2023 cars by stevedore); CX_00843-44, Molyneaux Dep. Tr. 90:22-91:9 (AMPORTS tracks the stevedore on all cargo in order to invoice them). Indeed, Mr. Molyneaux confirmed that Grimaldi vessels previously stevedored by Complainants were being stevedored by Ceres in 2023. CX_00862, Molyneaux Dep. Tr. 109:9-109:17.

Complainants also provided detailed evidence and lost volume calculations. The ID itself makes several findings of fact (ID FF ¶¶ 36-38) evidencing Complainants' lost volumes, including summarizing confidential evidence "that Complainants lost nearly all of their volume for some customers ... lost approximately half of their volume vis-à-vis other customers ... and lost a relatively small percent of their volume for ... customers with whom they engaged in negotiations." ID FF ¶ 36.⁴ Nevertheless, the ID summarily concluded: "[t]he evidence of the volume loss is not persuasive," ID at 39, giving two reasons: (1) "[a]lthough the evidence of volume loss appears in spreadsheets, interrogatory answers and deposition testimony,⁵ there is no evidence that any of the

⁴ ID FF ¶ 37 further finds the November 10, 2023 interrogatory responses contained volume and volume loss information, and that each Complainant identified a loss of business due to Respondent's actions. ID FF ¶ 38 likewise finds that Mark Schmidt testified regarding PAC and MTCE lost volumes and EBITDA. In addition, ID FF ¶¶ 33-34 find that, on April 17, 2023, AMPORTS invoiced Complainants for the \$25 access fee via a total of \$1.277 million across three invoices covering the first 3 months of January 1, 2023 to March 31, 2023.

⁵ The ID cites: "See generally CX_02040-CX_02043, CX_01532, CX_01562, Schmidt Dep.,

volume loss numbers were corroborated by an outside, independent source,” and (2) “[s]imilarly, the Commission in *Rose* looked unfavorably on the unverified documents the complainant in that matter submitted.” *Id.* The ID does not discuss the lost volume findings or otherwise evaluate the substance of Complainants’ evidence.

In summarily concluding the lost volume evidence was “not persuasive,” despite the ID’s findings of fact affirming the lost volume information, the ID errs in multiple respects. FMC precedent requires evidence to a “reasonable certainty,” yet the ID imposes an absolute certainty standard which is not required. Relying on *Rose*, the ID finds Complainants failed to meet their burden because expert testimony did not verify the damages. However, *Rose* does not stand for the proposition that expert testimony is required in every instance. *Rose*, 2001 WL 865708, at *79. (“Without any objective analysis of the otherwise unconvincing evidence presented by *Rose*, the conclusions drawn from that evidence provide a thoroughly inadequate basis upon which to award damages.”). The ID fails to consider the “individual facts” of this case, ignoring Complainants’ verified and credible evidence, and the unique nature of the stevedoring market here. *See Kobel*, 2014 WL 5316331, at *14.

The ID did not evaluate the content of the spreadsheets, the evidence, or the unique captive market at issue. Instead, without the required evaluation, the ID imposed an inapplicable heightened standard of proof drawn from *Rose* and summarily dismissed the evidence as “not persuasive.” In sum, aside from citing *Rose* and suggesting a need for independent corroboration and verification, the ID does not present any legitimate basis to support its conclusion that the lost volume information it ignored was “not persuasive.”

5. Complainants Proved Lost Volumes to a Reasonable Degree of Certainty

Complainants provided more than sufficient evidence to demonstrate the lost stevedoring business to Ceres as a result of AMPORTS' unlawful conduct. Under the applicable reasonable certainty standard, Complainants' evidence was credible, verifiable and reliable.

Complainants' lost volume data was meticulously tracked, verified, and submitted into evidence but was completely ignored in the ID. Complainants tracked, analyzed, calculated and reported in detail the lost business as a result of AMPORTS' conduct throughout the proceeding. Opening Br. at 62-65. First, Complainants provided an initial estimate of the lost volume and resulting damages in their November 2023 interrogatory responses, each verified by an officer of each Complainant. CX_01562, Schmidt Dep. Ex. 3, Interrogatory No. 10; CX_01532, Beall Dep. Ex. 2, Interrogatory No. 10. Second, the volume data and financial calculations were updated before the close of discovery in 2024, incorporating the complete and actual 2022 and 2023 volume data.

The calculations separately account for PAC and MTCE actual volumes stevedored during those periods, separated by vessel line and/or contract. *See, e.g.*, CX_02040-43, PA_0002232, PA_0002233, PA_0002235; CX_01532, Beall Dep. Ex. 2, Interrogatory No. 10; CX_01562, Schmidt Dep. Ex. 3, Interrogatory No. 10; CX_01114-44, Schmidt Dep. Tr. 75:18-105:14). Complainants included actual yearly volume data for each carrier for 2019-2023 and Q1 2024, as well as the trailing 12-month volumes (April 2023-March 2024) for comparative purposes. CX_02040, PA_0002232. In addition, Complainants reported monthly volume data for January 2021 through March 2024. CX_02041-43, PA_0002233-34. Special attention was focused on the volume lost starting in mid-April 2023, when the majority of ocean carrier customers abruptly moved their stevedoring business from Complainants to Ceres after the unlawful \$25 preferred stevedoring fee was ultimately implemented as of April 10, 2023. The summary table follows:

[REDACTED]

CX_02040, PA_0002232. For example, [REDACTED]

[REDACTED]

[REDACTED] This demonstration of volume loss to its only competitor, using actual 2022 baselines by carrier, is a reasonable approximation of lost volume that is supported by evidence and by reasonable inferences, and therefore satisfies the lost volumes to a reasonable degree of certainty. *See MAVL Capital*, 2022 WL 2209421, at *3.

The ID does not expressly question using the 2022 baseline estimate to measure volume loss, but perhaps implicitly questioned the methodology, noting that “Complainants’ witness testified that there are fluctuations in volume from year to year.” ID at 39, *citing* CX_01166, Schmidt Dep. Tr. 127:12-19. Notably, however, that was only part of Mr. Schmidt’s testimony. He further testified that historical fluctuations were **specifically taken into consideration** in Complainants’ lost volume calculations. Complainants did so by evaluating and comparing the “normal run rates from prior years,” which included evaluation of data from 2021 through 2024. CX_01167, Schmidt Dep. Tr. 128:8-14. That analysis revealed that actual year-over-year volumes were remarkably stable—varying only from 1% to 2% year-over-year—demonstrating that the 2022 baseline is a reasonable, reliable estimate. CX_02040, PA_ PA_0002232. The ID ignores this critical evidence—i.e., that the historical fluctuations were already considered and incorporated into Complainants’ calculations. The ID also ignores Complainants’ annual comparison data for each carrier/contract against the 12-month trailing average, after the \$25 access fee was imposed in April 2023. CX_02040, PA_0002232. The crucial table of comparative annual volumes shows: (1) the year-over-year variance for PAC’s prior Grimaldi volume between 2020-2022 is minimal, varying less than 2% from the 2022 baseline; and (2) the year-over-year variance for the combined MTCE cargo volumes between 2020-2022 is even smaller, varying less than 1% from the 2022 baseline. Consistent with Mr. Schmidt’s testimony, year-over-year fluctuations were insignificant and already accounted for in Complainants’ calculations, as discussed in the next section below. These reasonably certain calculations, supported by critical, verifiable evidence that the ID simply ignored, meet the Commission’s standard for proving reparations.

This minimal 1-2% fluctuation in year-over-year volumes stands in stark contrast to the precipitous volume drop beginning in mid-April 2023, [REDACTED]

[REDACTED]

CX_02043, PA_0002235. This dramatic drop was directly tied to AMPORTS' decision to impose the \$25 access fee on Complainants. The applicable standard requires sufficient evidence to reasonably infer the actual loss sustained, but it does not require absolute precision or certainty. *MAVL Capital*, 2022 WL 2209421, at *3. For all these reasons, Complainants' evidence was more than sufficient to demonstrate loss with reasonable certainty.

6. Complainants Proved that AMPORTS' Unlawful \$25 Access Fee Proximately Caused Complainants' Lost Business

Despite recognizing the clear causation evidence which unambiguously meets the reasonable certainty standard, the ID instead errs by basing its ruling on unsubstantiated speculation. The ID wrongly ignored AMPORTS' own admission that it intended to damage Complainants, as the non-preferred stevedore, by "handing a book of business" to the preferred stevedore and levying a "punitive" fee to push Complainants' business to Ceres. CX_01304, AMPORTS 143(b)(6) Dep. Ex. 6; CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7; CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. Complainants' clear and copious evidence proved proximate cause from AMPORTS' illegal acts.

Interestingly, the ID begins its proximate cause analysis by pointing to clear evidence that AMPORTS' unlawful acts proximately caused damage to Complainants. As to Grimaldi, the ID cites *prima facie* evidence the carrier "[had] no options left" but to work with "the stevedores imposed by AMPORTS," reluctantly changing from PAC to Ceres because the \$25 access fee liability was too great. ID at 39; CX_01573, Schmidt Dep. Ex. 19. There could not be more direct evidence than this email on causation. The ID also credits [REDACTED]

[REDACTED]—as further evidence of causation. ID at 39-40, citing CX_01130-37, Schmidt Dep. Tr. 91:9-98:5; see also CX_02040, PA_0002232. Specifically, the ID commented that "[b]oth facts are consistent with the idea that the higher access fee led to a loss of volume. Further, I also appreciate that, in general, if two competitors offer similar services, but one has a substantially

lower price than the other, then business will likely flow to the lower-priced service provider.” ID at 40. The ID’s analysis should have stopped there, as it concedes Complainants met their burden of persuasion by providing reliable and credible evidence that supports a reasonable inference of causation entitling Complainants to reparations. *See Kobel*, 2014 WL 5316331, at *13.

Curiously, despite these findings, the ID then *sua sponte* casts doubt on the evidence, proffering a list of speculative alternatives. None are supported by the record. The ID pointed to: (1) potential “fluctuations in volume from year to year”; (2) Grimaldi’s stray comment that its long term goal was to continue to work with Ports America; (3) the assumption that some customers may have stayed “despite the increased prices;” and (4) the ID’s pure hypothetical speculation, that “it is possible that there were other causes for a reduction in volumes that are independent of any access fee issues.” ID at 39-40. We address each in turn:

First, as noted earlier, the testimony on volume fluctuation was taken out of context, misunderstood, and already factored into Complainants’ damages calculations. *See supra*, Section IV(A)(5) (discussing accounted for volume fluctuations were 1-2% year over year). The ID ignores the commercial reality of this market where vessels are contractually bound for AMPORTS and there is no other alternative for the carriers to unload their Ro-Ro cargo. At AMPORTS, with the only stevedore options being either Complainants or Ceres, all of the business that was switched from Complainants to Ceres was, in fact, the lost volume.⁷

Second, the ID ignored the context of Grimaldi’s email, which is clear evidence of causation. Grimaldi was a customer of Complainants for years, until the \$25 access fee was imposed in April

⁷ Indeed, because AMPORTS knows precisely how much cargo is stevedored at its terminals, including from which ocean carrier and vessel, and whether Complainants or Ceres performed the stevedoring, at any given time the actual lost volumes could be calculated with even greater precision. AMPORTS tracks the data, it issued invoices to the stevedores for access fees, and if the Commission were to remand on damages, that data would be readily available.

2023 and they were forced to change stevedores. Grimaldi's stated long-term desire to maintain a business relationship with PAC is, if anything, further evidence of causation. Grimaldi was indicating its desire to stay with PAC, but only if Grimaldi could find a solution to avoid the \$25 fee: specifically, Grimaldi stated "we are not in the position to risk absorbing" the \$25 access fees, "meanwhile we will approach our customer to look for a long term solution allowing us to still work with POA as this remains our goal." CX_01573, Schmidt Dep. Ex. 19. Despite Grimaldi's desire to eventually reinstate the relationship, the reality for Complainants was a significant lost customer. The context of Grimaldi's email is concrete proof that AMPORTS' \$25 access fee caused Complainants to lose business.

Third, the ID gives the decision of one carrier, MOL, to continue working with Complainants undue weight as evidence undercutting proximate causation. ID at 40. However, the record is clear

[REDACTED] *See supra* Section II(C). The ID's baseless speculation that Complainants retained customers, notwithstanding the \$25 access fee, is simply contrary to the evidence. The ID misrelies on a summary table of annual volume showing that Complainants stevedored some cargo in 2023, ignoring the fact that the \$25 access fee was implemented only in April 2023, before carriers abruptly shifted stevedores.⁸

Fourth, the ID's final hypothetical—i.e., "it is possible that there were other causes for a reduction in volumes that are independent of any access fee issues"—is pure speculation. This supposition was neither raised by AMPORTS at any point in this proceeding nor supported by any evidence the record. ID at 40. Clearly, Complainants cannot prove a negative and the ID's unsubstantiated speculation impermissibly ignores the "individual facts" of this case and raises the standard for Complainants to prove damages to absolute certainty. *See Kobel*, 2014 WL 5316331,

⁸ [REDACTED]

at *14. As to Grimaldi, the ID’s speculation is particularly inapplicable because it is clear on the record, and in the ID’s own findings, that Grimaldi moved its business because of the exposure to the \$25 access fee.

The proximate cause evidence is absolutely clear that the ocean carriers’ motivation to switch to Ceres was directly based on AMPORTS’ unlawful and excessive \$25 access fee. In 2022, four carriers wrote letters to AMPORTS, warning that they would be forced to switch stevedores as a result of the \$25 access fee. Specifically, MOL and K-Line representatives told AMPORTS that: “[b]ecause they would be required to pay a \$25/unit fee in order to use other RO/RO stevedoring services at these AMPORTS-owned facilities, **MOL and K-Line will be forced as a practical matter into using SSA [in Benecia] and Ceres [in Baltimore] for their stevedoring needs.**” CX_01367; CX_01371, AMPORTS 143(b)(6) Dep. Exs. 26, 28; CX_02031, APS_0112 (emphasis added). WWO similarly objected, noting the Complainant MTCE was its chosen stevedore with whom it has “a long-standing contractual relationship.” CX_01367, AMPORTS 143(b)(6) Ex. 26. And Grimaldi likewise objected to AMPORTS usurping its decision to continue using PAC, its “contracted and chosen stevedores of long standing.” CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. All of this critical evidence on causation was flatly ignored by the ID.

Finally, it is well established in the record from multiple sources—including Ceres, AMPORTS, the ocean carriers, and Complainants—that the \$25 access fee was financially punitive. Ceres confirmed they were told the “non-preferred stevedore” would be excluded by AMPORTS’ imposition of an access fee and that the \$25 fee “would likely be punitive enough” to accomplish that goal. PFF ¶ 72; CX_01355, AMPORTS 143(b)(6) Dep. Ex. 20; CX_01371, AMPORTS 143(b)(6) Dep. Ex. 28. Testimony from the Complainants confirmed that the fee was so “onerous and punitive” it would force all stevedoring business to shift away from Complainants to its competitor. CX_01156-57, Schmidt Dep. Tr. 117:2-118:6 (“It would, essentially, shut down our

business at any of the sites where AMPORTS charged the fee . . . Because the charge is onerous and punitive, more than our EBITDA or earnings for those locations.”); *see also* Molyneaux Dep. Tr. 107:22-108:7 (testifying in connection with AMPORTS’ terminals Ro-Ro cargo volume data for 2022 and 2023, that cargo moving to Ceres in 2023 was not surprising because of the high access fee). While the ID conceded the economic reality of the situation, “I also appreciate that, in general, if two competitors offer similar services, but one has a substantially lower price than the other, then business will likely flow to the lower-priced service provider,” it then inexplicably fails to credit Complainants with that reasonable inference. ID at 40. In essence, the ID acknowledges the proximate and direct causation evidence but then summarily dismisses its weight in favor of unsupported speculations.

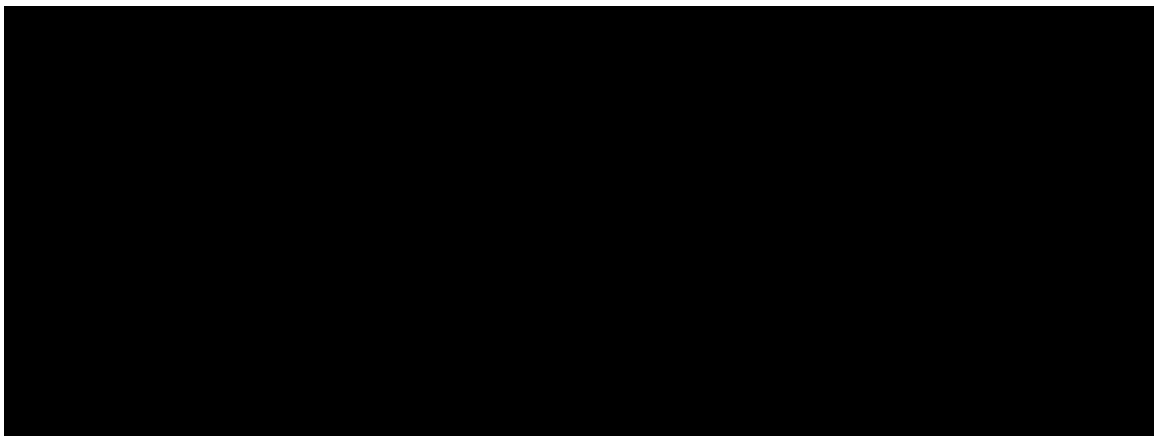
7. Complainants Proved Their Quantum of Lost Profits to a Reasonable Degree of Certainty

Complainants demonstrated their lost profits to a reasonable certainty, notwithstanding the ID ignoring the evidence. Instead of analyzing Complainants’ data, the ID mistakenly characterizes the evidence as “blanket amounts of EBITDA” and concluding that “Complainants do not show their work.” The ID is deeply mistaken, in that it wholly ignored Complainants’ “work.” While the ID cites to interrogatory responses and testimony on EBITDA, it utterly fails to consider Complainants’ damages calculation tables showing the underlying EBITDA calculations. CX_02040-43, PA_0002232, PA_0002233, PA_0002235.

The ID criticized Complainants for relying on “blanket amounts of EBITDA” without indicating the underlying “per-vehicle revenue,” “overhead costs,” and “costs saved,” yet ignores the fact that this data is already incorporated into the metrics Complainants provided. The ID may have preferred a different metric, however Complainants’ chosen method of calculation is suitable, reliable and based on non-speculative information. *MAVL Capital*, 2022 WL 2209421, at *3; *see also Consolo v. Fed. Mar. Comm’n.*, 383 U.S. 607. Complainants provided average margin figures

per car, by individual carrier contract, as a more accurate method of calculation than using average revenue per vehicle, which varies significantly by contract, and further varies by the differences in services, including the distance from the terminal point of rest. *See, e.g.*, CX_01160-61, Schmidt Dep. Tr. 121:13-122:6; CX_02045, PA_0000834 (tables summarizing 2021 and 2022 rates for multiple carriers, showing rate and revenue variations, including revenue variations for short, mid and long backlot/point of rest distances); CX_02044, PA_0000157 (Auto Rate Application Table, categorizing short, mid and long haul rates variations applicable for 18 different point of rest and back-lot options for Chesapeake and Atlantic/Fairfield). Using average revenue per car would also not have been as accurate of a methodology because the auto Ro-Ro contract rates are inclusive of standard labor costs. *See, e.g.*, CX_02051-55, PA_0000866 (showing Grimaldi/EuroMed rates from 10/2022-9/2023 applicable for new auto Ro-Ro auto stevedoring at Atlantic and Chesapeake terminals are inclusive of labor). Using average margin per car figures based on experience with specific contracts was appropriate and accounted for variations in per unit revenue and costs of providing the services, such as labor.

More specifically, Complainants' calculations build on the lost volume data and apply those figures to per car margin figures for each carrier group. The margin/per car figures differ significantly [REDACTED]:



[REDACTED]

By its nature, the margin, or profit margin, is the result of revenue less expenses, including labor, which is a net profit, not gross profit, calculation.⁹ The ID's criticism that "blanket EBITDA" fails to show how operating costs and costs saved were considered thus mischaracterizes the record. The Commission in *Rose* questioned the consideration of overhead costs in the "gross profit"

⁹ The margin figures are based on revenue from the different contract and rate agreements, as well as differences in services and scope provided under contracts. CX_01160-61, Schmidt Dep. Tr. 121:16-122-6. Additional supporting documentation is in the record, including contract rate summary information, CX_02044, PA_0000157; CX_02045, PA_0000834, and service and rate agreements with ocean carriers. CX_02046, PA_0000861; CX_02051, PA_0000866; CX_02056, PA_0000871; CX_02062, PA_0000897; CX_02127, PA_0000962; CX_02210, PA_0001045; CX_02304, PA_0001160; CX_02239, PA_0001092; CX_02254, PA_0001107; CX_02257, PA_0001110; CX_02225, PA_0001157.

calculations at issue there, but, such costs are taken out of net profit calculations, as *Rose* observed: “profit before taxes, net income, or net profit is the residual after such expenses are taken out of gross profit.” *Rose*, 2001 WL 865708, at *77. As the Commission observed in *Rose*, the EBITDA totals in Complainants’ table are not “blanket EBITDA” for each Complainant. Rather, the EBITDA totals are calculated for each carrier group by multiplying the specific applicable per car margin figure by the respective volume loss figures. Utilizing specific margin figures per carrier, the methodology incorporates the revenue for the services and the costs of providing the services, including operating costs and non-accounting costs of generating the revenue.

Although the ID did not fully evaluate the evidence on quantum of damages, the record is sufficient for the Commission, upon its *de novo* review, to find Complainants are entitled to an award of reparations. Complainants have satisfied their burden of establishing: (1) evidence of lost stevedoring volume to Ceres; (2) Complainants’ loss of stevedoring volume was caused by AMPORTS’ violations; and (3) the quantum of Complainants’ lost profits is calculated in a sufficient, reliable manner to a reasonable degree of certainty.

8. If the Commission Finds that Evidence in the Record is Insufficient, Remand is Warranted

The ID erred in failing to give Complainants the proper opportunity to address any perceived deficiencies in the evidentiary record on damages. If the Commission determines the evidence in the record is insufficient for a full determination of reparations, the appropriate remedy should be a remand. *See Perry’s Crane*, 19 F.M.C. at 551 (“We agree with the Presiding Officer that Complainant is entitled to some degree of monetary restitution for losses occasioned by the unlawful practices of Houston. The extent of reparation cannot be determined on this record. A remand on that issue is accordingly in order.” This procedure [referring to Rule 251] has been followed by the Commission in instances like the present when the record is full and complete on the issue of violation but is inadequate on the issue of damages.”) (emphasis added). Indeed, Complainants

anticipated a potential need for further proceedings on reparations and cited *Perry* for this same proposition in their briefing. *See* Reply Br. at 34-35.

Although the ID did not address *Perry's Crane* or the need for further proceedings, the ongoing damages in this case present another independent justification for remand. In *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, the respondent objected to a remand on damages, arguing that the complainant “should not be entitled to another ‘bite at the apple’ to make up for its failure to provide adequate proof during the proceeding.” Dkt. No. 94-01, 1997 WL 35281266, at *41-42 (FMC Oct. 10, 1997). The Commission rejected this argument and held the ongoing damages merited remand: “The Rules contemplate a further proceeding to determine the measure of damages and moreover, a further proceeding is particularly important in a case such as this where the violations are continuing in nature and the injury is suffered over a period of time.” *Id.* at *38.

For all these reasons, if the Commission determines that the evidence in the record is not sufficient for a full determination of reparations, FMC precedent dictates that the Commission should remand for a further proceeding on damages. *See Perry's Crane*, 19 F.M.C. at 551 (FMC Feb. 25, 1977); *Ceres*, 1997 WL 35281266, at *38.

B. Complainants Established AMPORTS Unreasonably Refused to Deal in Violation of 46 U.S.C. § 41106(3) and Unlawfully Prejudiced Complainants in Violation of 46 U.S.C. § 41106(2)

The Commission should reverse the ID on its justification findings, and in its *de novo* review, find AMPORTS unreasonably refused to deal and unreasonably prejudiced Complainants. The ID correctly determined that: (1) AMPORTS refused to deal by excluding Complainants from the bidding, and (2) Complainants were treated differently and unequally. The ID, however, erred in finding AMPORTS' purported justifications for the refusal to deal were legitimate transportation reasons. AMPORTS' proffered “safety record” justifications were entirely pretextual and meritless. ID at 34 (prejudice), 36 (refusal to deal). AMPORTS' highly dubious and vague concerns about

Complainants' stevedoring safety record were concocted after the fact, specifically for this proceeding. In the face of Complainants' "world-class" safety record, ID FF ¶ 20, AMPORTS' *post hoc* rationalization is demonstrably false. Moreover, the record shows stevedore safety was not even a consideration in the competitive stevedoring bidding process at the time it occurred in 2021.

Despite having the burden of production on justification for refusal to deal, AMPORTS presented only unsupported innuendo. The ID specifically recognized this weakness: "*The reasons given for Respondent's claim that Complainants had a poor safety record – such as unsubstantiated rumors or vague allegations of unreported incidents– are not strong.*" ID at 35 (emphasis added) (citations omitted). In fact, AMPORTS only "support" for its pretextual justifications is videos of two incidents which occurred significantly after Complainants were excluded and therefore could not have served as a legitimate justification. Yet, the ID inexplicably concluded AMPORTS met its burden to provide legitimate justifications: "presumably acting in its own best interests, [AMPORTS] found sufficient reason for excluding Complainants from consideration." ID at 35. Unsubstantiated, self-serving justifications are not legitimate reasons for refusing to deal and the ID's circular reasoning is deeply flawed. The burden is on AMPORTS to justify treating Complainants differently. Even if vague safety issues were an actual concern, AMPORTS offers no evidence that a safety criterion was fairly applied to any other stevedore in the bidding process. Finally, the ID erred by discounting affirmative evidence of Complainants' "world class" safety record.

1. Applicable Law

Section 41106(3) of the Shipping Act provides that a marine terminal operator may not "unreasonably refuse to deal or negotiate." 46 U.S.C. § 41106(3). "This requires a two-part inquiry: whether [respondent] refused to deal or negotiate, and, if so, whether its refusal was unreasonable." *Canaveral Port Auth. – Possible Violations of Section 10(b)(10)*, Dkt. No. 02-02, 2003 WL 723336,

at *15 (FMC Feb. 24. 2003). The ID properly found that Complainants satisfied the first inquiry. ID at 36 (“I accept Complainants’ assertion that it was excluded from competing for the exclusive stevedoring agreement. . . Thus, the first element of a violation of § 41106(3) is satisfied.”).

If a *prima facie* case is established under part one, the burden shifts to the respondent to present a viable justification for its actions. *Id.* at *13. A refusal may not be unreasonable where it is “justified by particular circumstances in effect.” *Agreement No. 201158 - Docking and Lease Agreement*, 30 S.R.R. 377, 379 (FMC 2004). Refusals to deal or negotiate are factually driven and determined on a case-by-case basis. *Canaveral*, 2003 WL 723336, at *18. The Shipping Act requires a marine terminal operator that undertakes such a competitive bidding process to conduct it reasonably and fairly. *See Ceres*, 1997 WL 35281266, at *36 (once criteria have been established for consideration, there is an obligation to apply those criteria in a reasonable, even-handed manner); *see Canaveral*, 2003 WL 723336, at *18 (failing to accord one prospective bidder the same bidding consideration afforded others violates the Shipping Act).

An unreasonable preference or prejudice claim under Section 41106(2) has four elements: “(1) two parties are similarly situated or in a competitive relationship, (2) the parties were accorded different treatment, (3) the unequal treatment is not justified by differences in transportation factors, and (4) the resulting prejudice or disadvantage is the proximate cause of injury.” *Ceres*, 1997 WL 35281266, at *31. Here, the ID correctly found that Complainants’ section 41106(2) cause of action met elements 1 and 2. ID at 34, 36. Having established differing treatment, the burden then shifts to AMPORTS to justify, if it can, the difference in treatment based on legitimate transportation factors. *Id.* at *33; *Cargill Inc. v. Waterman Steamship Corp.*, 24 F.M.C. 442, 461-62 (1981).

2. The ID Erred in Finding that AMPORTS’ Actions Were Justified

The ID’s analysis of AMPORTS’ alleged safety justification erred on both the law and the facts. To justify its treatment, AMPORTS obliquely referenced “safety concerns” without

substantiation. In reality, the record is clear that any spurious “safety concerns” were entirely *post hoc* pretextual arguments and demonstrably false.

On the refusal to deal cause of action, the ID improperly found AMPORTS satisfied its burden to present a viable justification on the basis of testimony from AMPORTS’ witnesses. *See e.g.*, CX_00149-50, Brown Dep. Tr. 113:14-114:5; CX_00417, Buben Dep. Tr. 90:6-13; CX_00597; CX_00642, Taylor Dep. Tr. 62:8-22; 107:1-7; CX_00831, Molyneaux Dep. Tr. 78:12-19. However, the cited testimony does not support AMPORTS’ claim that the purported safety concern was actually the reason for excluding Complainants at the time, or that it was a credible concern at all. Rather, the testimony is an amalgamation of hearsay and unverified accounts. In short, every other witness points to Ben Buben, Mr. Buben points to two videos, and the two videos depict videos of incidents that occurred months and years *after he decided to exclude Complainants*. Thus, these *post hoc* incidents simply could not be a legitimate justification for AMPORTS’ refusal to deal and exclude Complainants from a legitimate “competitive bidding” process. *See Santa Fe Disc. Cruise Parking, Inc. v. The Bd. of Tr. of The Galveston Wharves*, 2021 WL 1575018, at *14-15 (FMC. Apr. 16, 2021) (rejecting a terminal operator’s purported justifications for charging terminal users different rates that were not the actual reasons for the decision at the time, stating that “[p]ost-hoc rationalizations are insufficient.”).

AMPORTS’ justification excuse relies on the testimony of Ben Buben, the former COO of AMPORTS, who personally decided to exclude Complainants in November or December 2021. PFF ¶ 33; CX_00376-78, Buben Dep. Tr. 49:5-51:22. He cited “past accidents that were not brought to our attention” as the reason Complainants were excluded. CX_00417, Buben Dep. Tr. 90:6-13. Mr. Buben said: “after talking to my local management team, reviewing video footage of unreported accidents by Ports Americas on our terminal, and speaking with local ILA membership, I just felt that the Ports America leadership was not something that we wanted to partner with.” CX_00371,

Buben Dep. Tr. 44:7-14. Yet, none of the reasons or alleged “incidents” offered by Mr. Buben are substantiated in the record. When asked to elaborate on what “local ILA membership” told him, he did not recall discussing anything specific to Complainants, about safety or otherwise. CX_00375, Buben Dep. Tr. 48:2-19. Thus, on its face, Mr. Buben’s testimony does not substantiate that talking with local ILA stevedores provided any basis to question Complainants’ safety record or qualifications.¹⁰ Mr. Buben testified the only subject he discussed with “the local management team” was “review[ing] video footage of accidents that happened by Ports America, that were undocumented to AMPORTS and caused damage to our property.” PFF ¶ 35 (admitted); CX_00372, Buben Dep. Tr. 45:8-13.

The video incidents that form the basis of AMPORTS’ alleged safety concerns occurred years after Complainants were excluded from the preferred stevedore bidding process. Mr. Buben refers to two videos produced by AMPORTS in this proceeding. PFF ¶ 35 (admitted); CX_00372, Buben Dep. Tr. 45:6-13. The events depicted took place on May 31, 2022 and April 18, 2023, respectively. PFF ¶¶ 36-37 (admitted); CX_00952, Beall Dep. Tr. 58:11-17. Those incidents and videos did not even exist at the time Mr. Buben decided to exclude Complainants from consideration in late 2021 (or even at the later time AMPORTS circulated its Baltimore RFQ to stevedores on March 9, 2022). PFF ¶¶ 37, 39 (admitted); CX_00952, Beall Dep. Tr. 58:11-17; CX_01306, AMPORTS 143(b)(6) Dep. Ex. 7; CX_00386-87, CX_00390, Buben Dep. Tr. 59:23-60:1; 63:7-18. Mr. Buben clearly did not review these videos at the time, and they could not have been an actual basis for his decision to exclude Complainants in late 2021.¹¹

¹⁰ There is no credible evidence in the record about ILA having any actual concerns with Complainants’ safety record. Nor did AMPORTS or the ILA raise any concerns with Complainants. CX_01155, Schmidt Dep. Tr. 116:7-13.12 (“Q... Has AMPORTS complained to Ports America Chesapeake or MTCE about stevedoring safety at any time? A Not that I’m aware of. No, none. Q Has the ILA complained to PAC or MTCE about their safety? A No. None.”).

¹¹ In any case, the videos do not demonstrate that Complainants’ stevedoring was “unsafe” or that they failed to report AMPORTS property damage incidents that it knew about. See Opening Br. at

Jacob Brown, AMPORTS' corporate representative and then CFO, testified the only basis for AMPORTS' decision to exclude Complainants was their alleged safety record reason, which was entirely based on hearsay testimony he recalled Ben Buben telling him from local ILA members. CX_00149-50, Brown/AMPORTS 143(b)(6) Dep. Tr. 112:14-113:5. As noted above, Mr. Buben testified he did not recall discussing anything about Complainants' safety record with the ILA. CX_00375, Buben Dep. Tr. 48:2-19.

Steve Taylor, the former CEO of AMPORTS, testified he thought the reason for excluding Ports America was purported issues with speeding and not cleaning up around the terminal, all information he said he got from Ben Buben, who disagreed. CX_00597; CX_00599-600, Taylor Dep. Tr. 62:8-19; 64:14-65:12; 107:1-7.

George Molyneaux, who was at the time the Terminal Manager of AMPORTS' Baltimore terminals, did not know why Complainants were excluded because the decisions were made at the corporate office level in Florida, and Mr. Buben did not discuss stevedore safety or the competitive bidding process with him. CX_00842-43, Molyneaux Dep. Tr. 89:19-90:18. Mr. Molyneaux only identified the two video incidents, which both occurred after the decision to exclude Complainants. CX_00831, Molyneaux Dep. Tr. 78:12-19.

AMPORTS' safety concern is a classic *post hoc* rationalization—after the fact explanation of a prior action—which is not a legitimate justification under the Shipping Act. *See Santa Fe*, 2021 WL 1575018, at *14-15; *see also All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, FMC Dkt. No. 94-10, 1996 WL 264720, at *5 (FMC May 15, 1996) (affirming the initial decision, and noting the ALJ's finding disregarding a purported justification that “appears to be mainly a post-hoc rationalization”).

47. And AMPORTS concedes that other stevedores have caused damage to AMPORTS property. PFF ¶ 38 (admitted); CX_00372-73, Buben Dep. Tr. 45:14-46:1.

Furthermore, the ID erred in assuming AMPORTS did not have Complainants' true safety data or that it even applied the safety criteria fairly and consistently with other stevedores in the bidding process. Indeed, AMPORTS admitted it had access to stevedore safety data, including safety data on Complainants and Ceres, but Ben Buben testified that it did not use its safety data for the competitive bidding process. CX_00371-72, Buben Dep. Tr. 44:14-45:23; CX_00373-74, Buben Dep. Tr. 46:24-47:6. Thus, the ID further erred in determining it "is not clear that [AMPORTS] would have had [Complainants' safety] information." ID at 36. Moreover, Mr. Buben's admission that stevedoring safety data was not used in bidding process *de facto* demonstrates the safety criteria used to disqualify Complainants was not applied fairly, evenly, and consistently with other stevedores. CX_00373-74, Buben Dep. Tr. 46:24-47:6; PFF ¶ 42 (admitted); CX_00390-91, Buben Dep. Tr. 63:7-64:2. *See Ceres*, 1997 WL 35281266, at *36; *Canaveral*, 2003 WL 723336, at *18.

Despite AMPORTS having the burden to justify its refusal to deal, the ID relies on circular logic to excuse its actions, concluding AMPORTS "presumably acting in its own best interests, found sufficient reason for excluding Complainants from consideration." ID at 35. This reliance on AMPORTS' own reasoning defies the Shipping Act's requirements to demonstrate a legitimate justification. A party "acting on its own best interests" is not evidence of legitimate transportation factors. ID at 35.

Confusingly, the ID both acknowledges and then immediately disregards that "the record has evidence of Complainant PAC's 'world class' safety record" and that the "unsubstantiated rumors or vague allegations of unreported incidents – are not strong." ID at 35. Instead, the ID summarily finds AMPORTS satisfied its burden to present a viable justification on the same discredited testimony discussed above. To satisfy the burden of production, the ID must find that AMPORTS has shown a "sufficient, valid transportation-related reason." This burden is not met by giving AMPORTS a presumption of "acting in its own best interests" or assuming that AMPORTS "found

sufficient reason for excluding Complainants from consideration” that is not supported by the record. It is not Complainants’ burden to explain any “other reason for excluding Complainants” that AMPORTS might have had. The absence of any legitimate justification in the record underscores AMPORTS’ violations.

The Commission should reverse the ID on these justification findings, and on the basis of its *de novo* review, find that AMPORTS failed to meet its burden of production to justify its exclusion of Complainants. As a result, the Commission should find that AMPORTS unreasonably refused to deal in violation of 46 U.S.C. § 41106(3) and unreasonably prejudiced Complainants in violation of 46 U.S.C. § 41106(2).

C. AMPORTS’ \$10 Access Fee is Unreasonable and Excessive, in Violation of 46 U.S.C. § 41102(c)

1. The \$10 Access Fee Was Properly before the ALJ on the Merits

The ID erroneously concluded that Complainants’ challenge to the \$10 access fee was “not properly before” the ALJ. ID at 28 (citing 46 C.F.R. § 502.66(a)). The ID reached this conclusion in error, reasoning that, since the Complaint was not formally amended to include the \$10 access fee, the fee could not be properly considered. The ID incorrectly reasoned the fee broadens the issues beyond the scope of Count II of the Complaint, concluding that the \$10 and \$25 access fees were substantially different. ID at 29.

The ID’s analysis ignores the fact that Complainants challenge the reasonableness of the \$10 access fee on grounds that apply equally to both fees. Because the \$10 access fee was charged uniformly to all stevedores, Complainants challenged it only as an unreasonable practice under 46 U.S.C. § 41102(c). The ID’s criticism that the \$10 access fee challenge does not involve differential treatment of stevedores thus misapprehends the cause of action and the legal theories in the

Complaint and briefing.¹² It is well established that a practice can be non-discriminatory and still be unreasonable. *See 50 Mile Container Rules, Implementation by Ocean Common Carriers Serving U.S. Atl. and Gulf Coast Ports*, Dkt. No. 81-11, 1987 WL 209053, * 68 (FMC Aug. 3, 1987); *see also Ceres*, 1997 WL 35281266, at *38.

Count II challenged the access fees on stevedores as an unreasonable practice because AMPORTS failed to justify costs or benefits provided to the stevedores.¹³ Complaint ¶ 61; *see infra* IV(C)(3). This applies to both fees, as AMPORTS failed to reasonably allocate any benefits actually provided to, or performed for the benefit of, stevedores versus other beneficiaries. AMPORTS contends terminal capital and operating costs “benefit everyone,” and AMPORTS failed to tie the access fees to any services specifically rendered to stevedores or to reasonably allocate any proportional general benefit received by stevedores versus other classes of terminal user. Assessing access fees only on one class of user, not reasonably related or allocated to a service or benefit received by that class of user, is plainly within the scope of a cognizable unreasonable practices cause of action under FMC precedent, *e.g.*, as an impermissible general revenue raising charge. *Flanagan Shipping Corp. v. Lake Charles Harbor and Term. Dist.*, Dkt. No. 94-32, 27 S.R.R. 1123, 1132, 1997 FMC LEXIS 20, *26 (FMC Jul. 30, 1997); *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 281-282 (1968). AMPORTS modified the access fee to make it non-

¹² Differential treatment is central to the discrimination claim in Count I of the Complaint; it is not a central allegation of the unreasonable practices alleged in Count II. Differential treatment can constitute both discrimination and unreasonable practices violations, but it is not a required element of an unreasonable practices claim.

¹³ Complainants advanced several arguments regarding the unreasonableness of the \$25 access fee that apply equally to the \$10 access fee, including that there was no discernible benefit provided for stevedores in exchange for paying an access fee, Opening Br. at 13-14, and that the purported costs of services and benefits AMPORTS sought to recover via the access fees were the same services and benefits already charged to or recovered from other terminal users in the tariff (*i.e.* wharfage, dockage, security fees, etc.), Opening Br. at 15-18. The ID fails to address, or even reference, these other arguments in its erroneous analysis.

discriminatory, but that does not make it reasonable. And even as modified, the new access fee does not broaden the unreasonable practices allegations raised in Count II. The ID fails to demonstrate any issues that would be broadened, or any discovery AMPORTS would have sought from Complainants related to the \$10 access fee.

On the basis of its *de novo* review of the existing record, the Commission should reverse. In the alternative, the Commission should remand the matter to the ALJ for further adjudication of the \$10 access fee claims.

2. The ID Erred in Concluding in Dicta that the \$10 Fee Was Reasonable

Despite finding the \$10 fee was not properly before it, the ID nonetheless concluded via dicta the fee was nevertheless reasonable. The ID misapplied precedent and erred in basing its analysis only on the absence of differential treatment.

A marine terminal operator “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). “[A]ppplied to terminal practices ... ‘just and reasonable practice’ most appropriately means a practice, otherwise lawful but not excessive and which is fit and appropriate to the end in view.” *West Gulf Mar. Ass’n v. Port of Houston*, 18 S.R.R. 783, 790 (FMC 1978). For charges and fees, the question is “whether the charge levied is reasonably related to the service rendered” by “measur[ing] the impact on the payer compared to other payers as well as the relative benefits received.” *NPR, Inc. v. Bd. of Comm’r of the Port of New Orleans*, Dkt. No. 98-23, 2000 WL 359985, at *30 (ALJ Mar. 16, 2000) (quoting *Volkswagenwerk*, 390 U.S. at 282) (emphasis added); *see also Flanagan*, 27 S.R.R. at 1131-32. A *prima facie* violation exists if a charge “do[es] not bear a reasonable relationship” to the relative benefits they receive. *Louis Dreyfus Corp. v. Plaquemines Port, Harbor, and Terminal Dist.*, Dkt. No. 79-45, 25 F.M.C. 59, at *37 (ALJ June 30, 1982); *Volkswagenwerk*, 390 U.S. at 281-82.

On the mistaken premise an unreasonable practice claim requires showing differential treatment, the ID erroneously found Complainants failed to establish how the \$10 access fee “without more” could be unreasonable because “all stevedores are treated equally under the policy.” *Id.* at 29 n.7. Differential treatment is not a required element of an unreasonable practice cause of action, and even non-discriminatory actions can be unreasonable. *Ceres*, 1997 WL 35281266, at *38. The ID erred in confining the analysis of reasonableness solely to the absence of differential treatment.

Further, the ID wrongly distinguished the significant precedent cited in Complainants’ Opening Brief as inapplicable. ID at 29 (reasoning “all involve a situation where one party or group was singled out or was made to bear a significantly higher share of costs than others”); Opening Br. at 23-26. The ID draws a distinction without a legal difference: whether the access fee is charged to one stevedore or all stevedores is immaterial where, as alleged here, the charge is based on costs or benefits inuring to all terminal users, but is levied on only a subset of users. That fact pattern is not only a cognizable violation, it is *per se* unreasonable.

Complainants’ authorities are clearly relevant and applicable to the \$10 access fee allegations. For example, in *Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal District*, a rail switching fee was imposed on only one class of terminal users, the stevedores operating at the port. Dkt. No. 94-32, 27 S.R.R. 1123, 1132 (FMC Jul. 30, 1997). The FMC rejected the argument that the fee was justified because the stevedores received the general benefit of improved cargo flow and cargo availability for stevedoring services, finding the charge on all stevedores unreasonable where “[t]he benefits that are alleged to flow to Flanagan are very general in nature, and are the sort of benefits that accrue from the business as a whole.” *Flanagan*, 27 S.R.R. at *26-27 (citing *Volkswagenwerk* and other Commission precedent, and holding that “a substantial, correctly allocable benefit from rail switching has not been shown to flow to the stevedore; absent such a benefit, no charge can be reasonable.”). Like *Flanagan*, the \$10 per vehicle access fee is only

charged to one class of terminal users, the stevedores, but the purported benefit flows to all other users who do not pay the access fee. With no articulation or reasonable allocation of costs to benefits “no charge can be reasonable.” *Id.*

3. Complainants Established that the \$10 Access Fee Is Unreasonable

Complainants established a *prima facie* case the \$10/per vehicle access fee assessed on all stevedores effective June 1, 2024 is unreasonable under § 41102(c). Opening Br. at 25-26. AMPORTS failed to substantiate the access charge for any amount or identify any allocation of costs, except to concede that everyone benefits. PFF ¶ 120; CX_01923, 5/24/2024.

Complainants established AMPORTS’ assessment of the \$10 access fee “did not bear a reasonable relationship to the comparative benefit obtained from the port services by the assessed parties” (the stevedores), and “complainants did not receive benefits proportionate to the costs allocated to them, and moreover, other users of the port received equal or greater benefits, but did not pay their share of the port’s costs.” *Ceres*, 1997 WL 35281266 at *38. Having admitted the terminal operating and capital costs AMPORTS sought to recover via the \$25 access fee lacked any allocation of cost to any comparative benefits received by any user, AMPORTS failed to justify costs and benefits at any amount.¹⁴ AMPORTS does not dispute this showing.

There is nothing in the record to uniquely justify the \$10 access fee either. AMPORTS does not identify any specific new investments or benefits for stevedores from the \$10 fee, despite claiming the fee would “help to generate funds for improvements to terminal infrastructure.” PFF ¶ 120; CX_01923, 5/24/2024. Rather, the generic justification parrots the same infrastructure and

¹⁴ With respect to the alleged terminal operating and capital costs that AMPORTS sought to recover via access fees, Respondent admitted that “AMPORTS did not itemize the capital costs or allocate the costs to specific beneficiaries.” RPF ¶ 69. With respect to whether Complainants received benefits proportionate to the costs allocated to them via access fees, AMPORTS admitted that “every commercial entity accessing the terminals benefits from all terminal operating and capital costs or benefits,” RPF ¶ 70, and “Respondent admits that it did not allocate capital expenditure benefits applicable to stevedores.” RPF ¶ 78.

operating cost rationale it advanced in connection with the \$25 access fee. AMPORTS argues that the \$10 access fee “eliminate[s] . . . allegedly disparate treatment,” and, just as it claimed with the \$25 access fee, was “a reasonable business decision.” Opp. Br. at 34. But alleging “a reasonable business decision” is not a substitute for the Commission’s initial determination of reasonableness. *Ceres*, 1997 WL 35281266, at *37 (“Before granting deference in any case, the Commission must first assess the reasonableness of the practice involved and then evaluate the grounds articulated to justify the disparate treatment. If it is determined that a port’s actions are not unreasonable, then the Commission could grant deference to the port’s business decision, rather than substitute its own judgement.”).

Complainants established a *prima facie* case that the \$10 access fee on stevedores is unreasonable, and further established that AMPORTS failed to justify the \$10 access fee. The ID should therefore be reversed on this issue, and on the basis of the Commission’s *de novo* review, the Commission should find that the \$10 access fee is unreasonable, and order that AMPORTS cease and desist from further attempts to enforce or collect the \$10 access fee.

In the alternative, if the FMC determines the record is not sufficient, it should remand the issue for further proceedings before the ALJ.¹⁵ In all events, the ALJ’s dicta on these issues should not be adopted by the Commission.

V. CONCLUSION

Despite reaching the correct result on the central issues and violations in this proceeding, the ID: incorrectly concluded that Complainants failed to adequately prove actual damages and are not entitled to reparations; erred in finding that AMPORTS properly justified excluding Complainants

¹⁵ AMPORTS should not be afforded the benefit of its unilateral decision to abandon the \$25 access fee and replace it with the \$10 access fee after discovery had closed, and on the eve of briefing. Importantly, despite rescinding the \$25 access fee, AMPORTS has continued to aggressively litigate and defend its conduct that the ID has now found in violation of the Shipping Act.

from bidding; and erred in finding that the \$10 access fee was not properly before the ALJ for decision and erred in finding that it was a reasonable practice. The Commission, on the basis of a *de novo* review, should reverse the ID and award Complainants reparations, find AMPORTS' exclusion constituted an unreasonable refusal to deal and unlawful difference in treatment, and order a cease and desist barring AMPORTS from invoicing or seeking to collect the \$10 access fee. If the Commission determines that evidence in the record is not sufficient to either establish the amount of reparations or evaluate the \$10 access fee, the Commission should remand for further proceedings on damages pursuant to Rule 251 and/or proceedings before the ALJ, as appropriate.

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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